Printed Pages – 13

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MBA (3rd Semester)

Examination, Nov.-Dec., 2013

Branch : Management

COMPENSATION MANAGEMENT (NEW)

Time Allowed : Three Hours

Maximum Marks : 80

Minimum Pass Marks : 32

Note : All questions carry equal marks. Answer any one question from each unit.

UNIT - I

Q. 1. Explain in detail about the two concept : **16**

(a) Concept of minimum, fair and living wage.

(b) Differentiate between compensation policy and compensation philosophy.

Or

Case Study : Implementing Reward Strategy to stay ahead in the fast-changing technology. 16

(a) Company "Digiit", a leading global business services company.

(b) Situation - Digiit's compensation philosophy was to pay for performance. "If your

performance helps build the bottom line, you will be rewarded," claimed senior executives. Line managers struggled to balance this pay-for-performance philosophy with team orientation that was designed to encourage co-operation and innovation. Therefore, when allocating incentive dollars, these line managers did *not* weigh individual performance materially; instead they generally focused on group performance, resulting in minimal differentiation between star and poor

performers. The unintended consequences: Digiit's revenues were sluggish, its new businesses were understaffed, few low performers left, and its stock price was plummeting. This reward allocation issue restrained – and maybe even prevented – Digiit from addressing a critical business crisis. For years, Digiit had dominated its industry ... until advances in technology shifted focus from mechanical to digital. As a result, the business landscape changed and Digiit

was competing against new technology firms for business as well as the *right* talent. The evolving businesses demanded that management change its talent mix and motivate employees in the new business without loosing top-performing, long-term employees in the old business.

A quantitative analysis of historical employee, organizational and external data revealed the following disconnect –

- An employee's bonus was more a function of the employee's business unit that his or her individual performance.
- Better employees were not being rewarded for superior performance.
- The bottom 25% of the employees were still receiving about 25% of the 'pay-for-performance" pool.
- The company was paying out too much to the *wrong* people for what may – or

may not – not have been the *right* reasons.

Digiit's senior executive team believed that program *design* dictated program *delivery*. The plan documents espoused pay for performance, but there was no individual performance management process to facilitate and support pay decisions. Without considering how the elements of rewards and human capital strategy fit together, Digiit was not able to achieve in reality what it had intended.

QUESTIONS

As HR Manager of Digiit, propose a reward strategy to –

(i) Attract people with new skills in support of the future business plans.

(ii) Retain top-performers and weed-out non-performers in the 'cash cow' business.

UNIT - II

Q. 2. Explain executive compensation along with its components of compensation structure. Do explain

the concept of equity in compensation and how it can be achieved. 16

Or

What are wage differentials. Are they justified. Discuss. Do explain the concept of pay structure and its types. 16

UNIT - III

Q. 3. Explain the different components of compensation package. Describe the various types of fringe benefits offered to employees in India. 16

Or

Explain performance management process and the factors affecting it in an organization. Discuss how performance standards are set and measured. 16

UNIT - IV

Q. 4. Write short notes on the following :

(a) Can the employee discriminate the women employee in respect of wages. 5

(b) What are the powers available to commissioner in Workmen Compensation Act. 5

(c) How the provident fund scheme is administered under the Employee's Provident Funds and Miscellaneous Provisions Act, 1952. 6

Or

(a) When can an employee become disqualified to claim bonus. 5

(b) Explain the limits subject to which deductions can be made under Payment of Wages Act. 5

(c) Explain the objectives of the Minimum Wages Act. To what extent do you think this objective has been attained. 6

UNIT - V

Q. 5. What do you understand by the term productivity. How will you link pay with performance. Explain the concept of ESOP. 16

Or

Explain various institution / machineries related to reward system. Which compensation practices are prevalent in multinational corporations. 16